EXECUTIVE RECOMMENDATION / 01

Fund growth with cash discipline.

Microsoft Corporation | Annual financial forecasting & performance analysis

The decision

Prioritize a stage-gated capital program and preserve distribution flexibility. FY2026 revenue grew 17.8%, but cash capex reached 34.9% of revenue and FCF fell 6.5%. The base model implies FY2029 FCF of $104.3B, versus $75.4B to $129.7B under the defined operating scenarios. These are conditional estimates, not management guidance.

Headline evidence	FY2026 actual	FY2029 base forecast
Revenue	$331.8B	$522.8B
Operating margin	46.8%	45.7%
Cash capex	$115.9B	$182.7B
Free cash flow	$67.0B	$104.3B

Why this matters

Microsoft generated $182.9B of operating cash flow in FY2026, against $115.9B of cash PP&E spending. Finance lease additions of $24.6B also expanded capacity and future obligations. Standard FCF (CFO minus cash capex) does not capture that entire capital commitment.

The three levers

Capital intensity: one additional percentage point of capex / revenue reduces FY2027 FCF by $3.9B. **Operating margin:** one percentage point of margin adds $3.2B after tax. **Collections:** one extra collection day consumes $1.1B. These are one-at-a-time model sensitivities with different shock sizes, not causal estimates.

Read the forecast with its limits

The base uses 16.4% annual revenue growth (last two growth rates averaged), 45.7% operating margin (three-year mean), and 34.9% capex intensity (latest year). Finance leases are modeled explicitly; other assets/liabilities stay fixed. The annual model does not use FY2027 interim results.

Source: original Microsoft annual SEC filings FY2022–26. USD billions shown; model uses USD millions. All 165 selected historical facts reconcile to archived filing inline XBRL. Educational analysis, not investment advice.

EXECUTIVE RECOMMENDATION / 02

Actions, triggers and trade-offs.

FY2029 outcome	Downside	Base	Upside
Revenue	$458.3B	$522.8B	$564.3B
FCF	$75.4B	$104.3B	$129.7B
Ending cash	$39.7B	$81.6B	$127.9B

1 / Gate incremental capacity commitments

Review cash capex and new finance lease commitments together. Escalate review if cash capex exceeds the downside planning level of 36.9% of revenue, or capacity utilization fails internal milestones. Monitor capex / revenue, lease additions, utilization and FCF after lease principal. Trade-off: slower deployment may constrain growth; no utilization dataset is available in this project.

2 / Protect margin and collection cadence

Reassess the cost envelope if annual operating margin falls below the downside level of 42.7%, and investigate DSO above 94 days. Monitor margin, receivables aging and contract liabilities. The model suggests meaningful cash exposure, but annual DSO and DPO are blunt proxies; validate monthly operating evidence before acting.

3 / Make distributions conditional on liquidity

The cash floor is FY2026 cash of $20.9B. The downside requires $7.4B of cumulative modeled borrowing over three years if dividend and buyback ratios remain fixed. Reduce discretionary repurchases before accepting avoidable borrowing, subject to actual treasury constraints. This is a policy recommendation; the model holds payout ratios fixed to expose the trade-off.

Validation and uncertainty

Four one-year holdouts (FY2023–26) use original annual facts available at each origin filing date. Revenue MAPE is 4.6%, EBIT 8.0%, and FCF 18.4%. Model MAE is 12.0% lower than the prior-growth baseline for revenue and 18.6% lower for FCF, but 4.8% higher for EBIT. Every FCF holdout is overforecast. Four observations do not establish statistical skill; retrospective development has researcher hindsight risk.

Methodology / scope

Snapshot: November 7, 2026. Latest modeled annual period: June 30, 2026. Forecast: FY2027–29. Aggregate, driver-based three-statement model; cash is a rollforward and explicit borrowing funds a minimum cash rule. Opening financing balances determine interest. No segment forecast, debt maturity schedule, acquisitions, new operating leases, deferred-tax forecast or securities sales. Depreciation and interest are proxies. Source files, assumptions, checks and backtests are included.